

How to Overcome Anchoring When Investing

Anchoring can lead to poor investment decisions. Here's how to help clients avoid it.



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This is the 17th article in the Behavioral Finance and Macroeconomics series exploring the effect behavior has on markets and the economy as a whole and how advisors who understand this relationship can work more effectively with their clients.

When required to make an estimation, people generally begin by envisioning some initial, default number--an "anchor"--which they then adjust up or down to reflect subsequent information and analysis. This is referred to as anchoring bias, an information processing bias.

Numerous studies demonstrate that, regardless of how the initial anchors were chosen, people tend to adjust their anchors insufficiently and produce end approximations that are, consequently, biased. We are generally better at estimating relative comparisons rather than absolute figures.

Suppose you are asked whether the population of Canada is greater than or less than 30 million. Because of the way the question was phrased, you will obviously answer either above 30 million or below 30 million. If you were then asked to guess an absolute population value for Canada, your estimate would probably fall somewhere near 30 million. This is because you are likely subject to anchoring from your previous response.

Similarly, anchoring is used as a negotiating tactic for, say, buying a car. Suppose you go into a dealer and test drive several cars. You are impressed, and are in the mood to actually buy a car. The salesperson has been charming and likable. Now comes the moment of truth--the price negotiation. Most people tend to want to let the other party "declare" a number to start the negotiation. The problem is, people tend to get anchored to a certain number. If the salesperson puts forth a price, you will likely get "anchored" to that number, and as a result, that price sets the standard for the remainder of the negotiation. You may inadvertently pay more than you would like because you became anchored to that initial number.

In the investment realm, it has to do with selling a security. For example, suppose you buy a stock for \$100. If you are subject to anchoring bias, the decision to sell or hold the stock will be based on the purchase price you paid--\$100--and will have little to do with the actual value of the stock based on a rational analysis. Let's say a stock has gone down from the initial purchase price: You paid \$100 for a stock that is trading at \$80 today, and the company faces challenging circumstances. The reference price on a decision to sell or hold the stock should be based on a rational assessment of the company, its challenges, and its stock price, but those afflicted with anchoring bias will base their buy or sell decision on the \$100 initial purchase price.